

Mcom Sem II
NAP 2020
4/2/20

(2 Hours)

(Total Marks: 50)

N.B : 1. All Questions are compulsory

2. Working Notes and Assumptions are part of answer

Q-1(A) Define Risk Management. Explain types of Risk.

[07]

Q-1(B) Explain Financial Disasters Failures.

[07]

OR

Q-1(C) Case Study: The Global Financial Crisis of 2008

[14]

The Global Financial Crisis (GFC) of 2008 is considered one of the worst economic disasters since the Great Depression of 1929. It originated in the United States with the bursting of the housing bubble and the collapse of mortgage-backed securities, particularly subprime mortgages. Financial institutions faced massive losses, and some of the world's largest banks and insurance firms either went bankrupt or were bailed out by governments. The crisis rapidly spread across the globe due to the interconnectedness of financial markets, leading to economic contraction, a sharp rise in unemployment, and the collapse of major businesses. Governments and central banks responded with aggressive monetary and fiscal policies to restore confidence and stimulate growth.

Questions:

1. What were the major causes of the Global Financial Crisis of 2008?
2. What policy measures were taken globally to address the crisis and restore stability?

Q-2(A) Explain Derivatives and types of derivatives.

[06]

Q-2(B) Explain hedging through derivatives.

[06]

OR

Q-2(C) Case Study: Futures Contract – Reliance Industries Ltd.

[06]

Mr. Ramesh anticipates that the share price of Reliance Industries Ltd. will decrease in the near future due to expected weakness in the oil & gas sector. On 1st July 2024, Reliance Industries' stock is trading at Rs.2,800 in the spot market. To hedge his portfolio, Mr. Ramesh enters into a futures contract where he shorts 500 shares of Reliance in the futures market at Rs.2,850 per share. The contract expires on 31st July 2024.

On the expiry date, Reliance shares are trading at Rs.2,700 in the spot market. Calculate Mr. Ramesh's gain or loss on the futures contract.

Q-2(D) . Case Study: Call Option – Bank Nifty

[06]

Ms. Ananya is bullish on the Bank Nifty index, which is currently trading at Rs.48,000 on 1st September 2024.

To profit from the anticipated upward movement while limiting her risk, she buys a Bank Nifty call option with the following details:

Strike Price: Rs.48,200

Premium Paid: Rs.120

Lot Size: 25 units

Expiry Date: 26th September 2024

Calculate the net payoff of Ms. Ananya's position if Bank Nifty closes at:

- (i) Rs.48,100 (ii) Rs.48,500 (iii) Rs.49,000 (iv) Rs.50,000

Q-3(A) Write short notes on any three Credit Rating Agencies in India. [06]

Q-3(B) What are the different credit rating scales used in India? Explain them with their symbols. [06]

OR

Q-3(C) Case Study: [12]

Calculate Capital Adequacy Ratio for Shreeram Bank using the data below:

Exposure Type	Amount (Rs. '000s)	Risk Weight
Government Treasury held as Asset	8,500	0%
Loans to Large Corporates	13,000	25%
Loans to Small Business	5,000	40%
Guarantee and other non-balance sheet exposures	500	100%

Tier 1 Capital: Rs.800 thousand	Tier 2 Capital: Rs.1,150 thousand
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Q-4(A) Explain the risk-adjusted return on capital RAROC Model. [06]

Q-4(B) Explain Binomial Option Model. [06]

OR

Q-4(C) Case Study: [12]

Below is the stock data for XYZ Ltd. for 10 years. Calculate BETA and state whether the stock is high- or low-risk.

Year	Return on XYZ (%)	Return on Market (%)
1	22	26
2	26	24
3	28	23
4	24	29
5	20	33
6	25	30
7	34	39
8	27	36
9	38	42
10	42	47
